SECTION A – 2 MARKS

Q1.

An **accounting standard** is a written statement of rules for recognising, measuring, presenting and disclosing transactions in the financial statements. In India the Accounting Standards Board prepares them and the Council of the ICAI issues them. A standard cannot override the law.

Q2.

Accounting standards are set so that enterprises follow one accepted practice. Two objectives are:

1. **Uniformity:** similar transactions are recorded in one way.
2. **Comparability:** results of different enterprises, and of different years, can be compared.

Q3.

Net realisable value, as per AS 2, is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale. Inventory is carried at cost or net realisable value, whichever is lower.

Q4.

The cost of an item of property, plant and equipment, as per AS 10, is:

1. the purchase price, including import duties and non-refundable purchase taxes, after trade discounts and rebates,
2. costs directly attributable to bringing the asset to the location and condition needed for its intended use, and
3. the initial estimate of dismantling, removal and site-restoration costs.

Q5.

AS 13 classifies investments by the period for which they are held:

1. **Current investment:** readily realisable, and intended to be held for not more than one year from the date of purchase.
2. **Long-term investment:** any investment other than a current investment.

Q6.

A **qualifying asset**, as per AS 16, is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale. Borrowing costs that are directly attributable to such an asset are capitalised as part of its cost.

Q7.

A **finance lease** transfers substantially all the risks and rewards incidental to ownership from the lessor to the lessee. An **operating lease** does not. One test is that the present value of the minimum lease payments amounts to substantially all of the fair value of the asset.

Q8.

An **intangible asset**, as per AS 26, is an identifiable non-monetary asset without physical substance, held for use in production or supply, for rental to others, or for administration. Three features are required: identifiability, control, and probable future economic benefits.

Q9.

A **provision**, as per AS 29, is a liability that can be measured only by using a substantial degree of estimation. It is recognised only when a present obligation arises from a past event, an outflow of resources is probable, and a reliable estimate can be made.

Q10.

Revenue from the sale of goods is recognised when the seller has transferred the property in the goods for a price. That point usually coincides with the transfer of the significant risks and rewards of ownership. If the two do not coincide, revenue is recognised when the significant risks and rewards pass to the buyer.

SECTION B – 5 MARKS

Q1.

The ICAI constituted the Accounting Standards Board in 1977 to prepare standards. The standard-setting process is:

1. The area that needs a standard is identified.
2. A study group is formed and it prepares a draft.
3. The draft is circulated and the views of different bodies are taken.
4. An exposure draft is finalised and issued for public comments.
5. The draft is modified in the light of those comments.
6. The Council of the ICAI issues the Accounting Standard. For companies, the Ministry of Corporate Affairs notifies it.

The National Financial Reporting Authority recommends accounting standards and auditing standards for companies, and it monitors and enforces compliance with them. It can also look into the professional misconduct of auditors. A standard does not override the law. Where the law requires a different treatment, the law is followed and the departure is disclosed.

Q2.

AS 10 includes in the cost of machinery the purchase price, non-refundable import duties and taxes, and costs that bring the asset to the location and condition needed for its intended use. Refundable taxes, inauguration costs, staff training and initial operating losses are not part of that cost.

Particulars	Rs.
Purchase price	20,00,000
Non-refundable import duty	2,00,000
Freight and handling	80,000
Installation and site preparation	1,20,000
Cost to be capitalised	**24,00,000**

Left out: refundable GST Rs. 2,40,000, inauguration Rs. 50,000, initial operating losses Rs. 1,00,000, and staff training Rs. 40,000. The machinery is capitalised at **Rs. 24,00,000**.

Q3.

Under AS 2, inventory is shown at historical cost or net realisable value, whichever is lower. Net realisable value is the estimated selling price less the selling expenses.

Particulars	Rs.
Estimated selling price	4,80,000
Less: Selling expenses, 5% of Rs. 4,80,000	24,000
Net realisable value	**4,56,000**
Historical cost	5,00,000

Net realisable value is lower. The inventory is shown at **Rs. 4,56,000**.

Q4.

The initial cost under AS 10 is the purchase price, the import duty, the non-refundable taxes, and the costs of installation and site preparation. The inauguration cost is not a cost of bringing the machine to working condition.

Particulars	Rs.
Purchase price	20,00,000
Import duties	2,00,000
Non-refundable taxes	1,00,000
Installation charges	1,50,000
Site preparation	50,000
Initial cost capitalised	**25,00,000**

The inauguration expenditure of Rs. 30,000 is charged to profit and loss. The machine is capitalised at **Rs. 25,00,000**.

SECTION C – 10 MARKS

Q1.

AS 10 requires each significant part of an asset to be depreciated separately. The body and the engine are separate components. No residual value is given, so the whole cost is depreciated on the straight-line method.

Component	Cost (Rs. crore)	Life (years)	Depreciation a year	For 5 years	Carrying amount
Body	70	20	3.50	17.50	52.50
Engine	30	5	6.00	30.00	Nil

On 31 March 2025 the old engine is fully depreciated. Its carrying amount is nil, so derecognition gives no gain or loss. The new engine meets the recognition test and is capitalised at **Rs. 45 crore**. It is then depreciated over its own useful life, which begins on 1 April 2025. The body is not disturbed. It stays at a carrying amount of **Rs. 52.50 crore**, and depreciation of Rs. 3.50 crore a year continues for the remaining 15 years.

Q2.

Minimum lease payments, from the lessee's side, are the lease rents plus any residual value guaranteed by the lessee. The unguaranteed residual value is not part of the minimum lease payments.

Year	Payment (Rs.)	Factor at 10%	Present value (Rs.)
1	3,20,000	0.909	2,90,880
2	3,20,000	0.826	2,64,320
3	3,20,000	0.751	2,40,320
4	3,20,000	0.683	2,18,560
4, guaranteed residual	50,000	0.683	34,150
Present value of MLP			**10,48,230**

The fair value of the machine is Rs. 10,00,000. The present value of the minimum lease payments, Rs. 10,48,230, is more than that fair value, so it amounts to substantially all of the fair value. The lease transfers substantially all the risks and rewards of ownership. It is a **finance lease**.

Q3.

Revenue is the inflow of cash, receivables or other consideration arising in the course of the ordinary activities of an enterprise. AS 9 deals with when that revenue is recognised, and with the effect of uncertainty about the amount or its collection. It does not apply to construction contracts, hire-purchase and lease agreements, government grants, or the revenue of insurance companies.

Revenue covered by AS 9 arises from:

1. the sale of goods,
2. the rendering of services, and
3. the use by others of enterprise resources, which yields interest, royalties and dividends.

Sale of goods. Revenue is recognised when the seller has transferred the property in the goods to the buyer for a price. That normally coincides with the transfer of the significant risks and rewards of ownership. Where it does not, revenue waits until those risks and rewards have passed. A delay in delivery, whether the buyer's or the seller's, or an agreement fixing the time of transfer, can separate the two events.

Rendering of services. Revenue is recognised as the service is performed, by one of two methods:

1. **Completed-service method:** revenue is recognised only when the service is completed or substantially completed.
2. **Proportionate-completion method:** revenue is recognised in step with the degree of completion.

Interest, royalties and dividends.

1. **Interest** is recognised on a time basis, taking the amount outstanding and the rate.
2. **Royalties** are recognised on an accrual basis, as the agreement provides.
3. **Dividends** are recognised when the owner's right to receive payment is established.

Revenue is recognised only when it can be measured reliably and collection is reasonably certain. If collectability becomes uncertain after recognition, the amount already recorded is not reversed. A separate provision is made instead.

Q4.

The debentures were bought cum-interest. Interest had last been paid on 31 December 2023, so three months' interest is included in the quotation and is not part of the cost. Brokerage is 1% of the price excluding that interest.

Particulars	Rs.
Quotation, 5,000 × Rs. 96	4,80,000
Less: Interest included, 5,00,000 × 10% × 3/12	12,500
Ex-interest price	4,67,500
Brokerage, 1% of Rs. 4,67,500	4,675
Stamp duty and transfer fees	2,000
Cost on 1 April 2024	**4,74,175**

Sale on 1 November 2024 is ex-interest, so the Rs. 98 is entirely capital. Accrued interest from 1 July to 1 November is received in addition.

Particulars	Rs.
Sale price, 2,000 × Rs. 98	1,96,000
Less: Brokerage at 1%	1,960
Net sale proceeds	1,94,040
Less: Cost of debentures sold, 4,74,175 × 2/5	1,89,670
Profit on sale	**4,370**

Interest earned up to 31 March 2025:

Period	On	Working	Rs.
1 Apr to 30 Jun 2024	5,000	5,00,000 × 10% × 3/12	12,500
1 Jul to 1 Nov 2024	2,000	2,00,000 × 10% × 4/12	6,666.67
1 Jul to 31 Dec 2024	3,000	3,00,000 × 10% × 6/12	15,000
1 Jan to 31 Mar 2025	3,000	3,00,000 × 10% × 3/12	7,500
Interest income			**41,666.67**

The remaining 3,000 debentures cost Rs. 2,84,505. Market value is 3,000 × Rs. 92 = Rs. 2,76,000. They are current investments, so the lower amount is used. The fall of Rs. 8,505 is charged to profit and loss. They are carried at **Rs. 2,76,000**.

Investment in 10% Debentures Account for the year ended 31 March 2025:

	Particulars	Nominal	Interest	Cost
Dr	To Bank	5,00,000	12,500	4,74,175
Dr	To Profit and loss (profit)			4,370
Cr	By Bank, 30 June		25,000	
Cr	By Bank, sale	2,00,000	6,666.67	1,94,040
Cr	By Bank, 31 December		15,000	
Cr	By Profit and loss (interest)		41,666.67	
Cr	By Profit and loss (valuation)			8,505
Cr	By Accrued interest		7,500	

Interest of Rs. 54,166.67 agrees on both sides. Nominal still to be carried is 5,00,000 – 2,00,000 = Rs. 3,00,000. Cost still to be carried is 4,78,545 – 2,02,545 = Rs. 2,76,000. The balance brought down on 1 April 2025 is 3,000 debentures, cost Rs. 2,76,000, with accrued interest of Rs. 7,500.

Q5.

AS 7 says that where one contract covers a number of assets, the construction of each asset is a separate construction contract when three conditions are met:

1. separate proposals have been submitted for each asset,

2. each asset has been subject to separate negotiation, so that the contractor and the customer could accept or reject that part, and

3. the costs and revenues of each asset can be identified.

All three conditions are met for the units of the industrial complex. XYZ Construction Ltd. treats the construction of each unit as a **separate construction contract**.